

HD Hyundai Marine Solution

1Q25 OP in-line; operation stays robust; assume coverage at OW with new PT at W190K

We assume coverage of HD Hyundai Marine Solution (HMS) with an OW rating and a Dec-26 PT of W190K. HMS's 1Q25 sales and OP were strong and in-line with consensus, seemingly underappreciated by the market, given its share price dip of 3% d-d (vs. KOSPI flat). We think the company has a clear sales and earnings outlook, especially with materializing retrofit demand, and is well set to meet its mid-term 20% CAGR core business sales growth guidance (~2028). The company also announced a quarterly DPS of W700, and hinted at a higher year-end DPS with full year DPS to top off last year's level. Although the share price might be volatile with the PE overhang, we deem the recent correction as a good buying opportunity given a clear earnings upcycle. OW on the stock with a PT of W190K.

- 1Q25 revenue in-line:** HMS's 1Q25 revenue was at an all-time-high of W486B (+27% y-y), in-line with consensus. Its core business (ex-bunkering) revenue grew 36% y-y, with all three divisions growing y-y and q-q. AM revenue increased by 27% y-y, due to the quarterly sales of Himsen engines exceeding W100B, indicating a strong growth trend. Retrofit revenue grew 92% y-y, as the completion of major equipment delivery and installation for the FSU project (W20B) was reflected. The second-generation retrofit, reliquefaction is also continuously contributing to sales, and is expected to gradually drive sales growth. Digital sales edged up 14% y-y, with some of the scheduled 2Q volumes delivered early.
- 1Q25 OP largely in-line:** HMS's 1Q25 OP (W83B, OPM 17%) was solid and largely in-line with Street expectations. The company did not disclose detailed breakdown of OP, but management did comment on the margins by division. AM profits increased due to the product mix effect from rising Himsen engine sales. For retrofit, margins improved due to revenue recognition and profit contribution from the FSU project. The digital segment continues to maintain a solid profit margin.
- PT at 190k, OW.** The share price is down 3% YTD (KOSPI: +5% YTD), as the stock has been traded soft after the 4Q24 earnings miss. We think the high earnings expectations weighed on the stock price, after releasing in-line 1Q25 earnings. With the visualizing IMO regulations, robust demand for retrofit is expected going forward. Plans to enhance AM solution competitiveness through logistics hub investments have been finalized, with a new hub set to be established in Singapore. The growth momentum is solid, along with attractive dividend policy, therefore we view the current correction as a good entry point. We are OW on the stock.

Overweight

443060.KS, 443060 KS

Price (24 Apr 25): W158,300

Price Target (Dec-26): W190,000

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Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	78	83	94	94	
Growth	8	1	65	48	27
Momentum	7				
Quality	1	1	1		
Low Vol	94	100			

Sources for: Style Exposure – J.P. Morgan Quantitative and Derivatives Strategy; all other tables are company data and J.P. Morgan estimates.

See page 8 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance



	YTD	1m	3m	12m
Abs	-1.9%	12.5%	-9.0%	-
Rel	-7.0%	16.7%	-8.5%	-

Company Data

Shares O/S (mn)	44
52-week range (W)	207,500-99,500
Market cap (\$ mn)	4,929
Exchange rate	1,427.63
Free float (%)	14.1%
3M ADV (mn)	0.20
3M ADV (\$ mn)	20.5
Volatility (90 Day)	61
Index	KOSPI
BBG ANR (Buy Hold Sell)	7 0 0

Key Metrics (FYE Dec)

W in billions	FY24A	FY25E	FY26E
Financial Estimates			
Revenue	1,745	2,061	2,521
Adj. EBITDA	281	368	465
Adj. EBIT	272	355	453
Adj. net income	228	271	353
Adj. EPS	5,128	6,102	7,937
BBG EPS	5,110	6,247	7,649
Cashflow from operations	247	249	285
FCFF	237	239	275
Margins and Growth			
Revenue Growth Y/Y (%)	22.0%	18.1%	22.3%
EBITDA margin	16.1%	17.9%	18.4%
EBITDA Growth Y/Y (%)	34.0%	31.0%	26.2%
EBIT margin	15.6%	17.2%	18.0%
Net margin	13.1%	13.2%	14.0%
Adj. EPS growth	35.7%	19.0%	30.1%
Ratios			
Adj. tax rate	23.2%	25.0%	25.0%
Interest cover	NM	NM	NM
Net debt/Equity	NM	NM	NM
Net debt/EBITDA	NM	NM	NM
ROCE	43.5%	42.2%	45.5%
ROE	45.0%	32.3%	35.2%
Valuation			
FCFF yield	3.4%	3.4%	3.9%
Dividend yield	2.0%	2.2%	2.8%
EV/Revenue	1.8	3.2	2.5
EV/EBITDA	11.5	17.9	13.5
Adj. P/E	30.9	25.9	19.9

Summary Investment Thesis and Valuation

Investment Thesis

We are OW on the company with a robust outlook for affiliate earnings (HHI, Mipo and Samho), which are expected to improve through the coming years with better mix. We are also positive on the order outlook with a focus on 1) US LNG opportunities, 2) strong green transition demand, and 3) defense business. We think a reset in the earnings outlook for the affiliates indicates better capital return for the company and calls for a narrower NAV discount. We are OW.

Valuation

We set HMS's Dec-26 PT at W190K, based on a 12-month forward target P/E of 25x, a 20% premium to maritime peers given its stronger revenue and earnings growth prospects beyond our forecast horizon, less business risk and stronger shareholder return outlook. We use P/E as the valuation method for the stock, as: 1) unlike shipbuilding, it runs a stable and cycle-defensive aftermarket business; 2) its growth does not require heavy fixed capital deployment; and 3) we estimate its bottom-line earnings to accompany corresponding free cash flow and shareholder returns.

Performance Drivers

Market	0%
Region	0%
Macro	14%
Style	9%
Idiosyn.	77%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.08	0.04
Region: Korea	0.15	0.04
Macro:		
Generic 1st 'CO' Future	-0.32	-0.28
HSI Volatility Index	-0.34	-0.18
JPM Global Equity Sentiment	-0.16	-0.14
Quant Styles:		
DivYld	-0.34	-0.25
Value	-0.32	-0.24
LowVol	-0.33	-0.24

Source: J.P. Morgan Quantitative and Derivatives Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Table 1: HMS: 1Q25 earnings review

Wbn, %

	1Q25			1Q24	% y-y	4Q24	% q-q
	Actual	Consensus	Diff. vs. BBG				
Revenue	486	463	5%	383	27%	463	5%
OP	83	66	26%	52	61%	66	26%
OP margin	17.1%	14.2%		13.4%		14.2%	
NP	63	62	1%	44	43%	68	-7%
NP margin	13.0%	13.5%		11.6%		14.8%	

Source: Company data, J.P. Morgan estimates, Bloomberg Finance L.P.

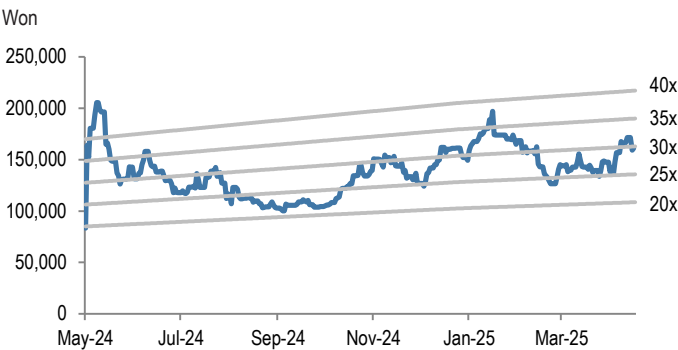
Table 2: HMS: P&L/key ratio

Wbn, %

	2021	2022	2023	2024	2025E	2026E
P&L						
Sales	1,088	1,334	1,430	1,745	2,061	2,521
AM	365	467	606	806	1,020	1,226
Retrofit	153	194	169	164	170	305
SDV	49	45	62	71	81	121
Bunkering	521	627	593	706	790	869
COGS	942	1,138	1,158	1,383	1,612	1,948
Gross profit	145	196	273	362	449	572
Operating profit	113	142	201	272	355	453
Recurring profit	117	142	201	297	362	470
Net income	90	105	151	228	271	353
EPS (W)	2,239	2,623	3,778	5,128	6,102	7,937
Margin %						
Sales growth y-y		23%	7%	22%	18%	22%
GP margin	13%	15%	19%	21%	22%	23%
OP margin	10%	11%	14%	16%	17%	18%
NP margin	8%	8%	11%	13%	13%	14%
Key ratio						
Account receivables turnover	8	8	7	7	7	7
Inventory turnover	8	8	6	5	6	6
Account payable turnover	10	10	9	8	9	9
Net debt	-35	35	32	-481	-581	-700
EV	-35	3,371	3,368	3,226	6,594	6,287
PER (x)		32	22	16	26	20
EV/EBITDA (x)		23	16	11	18	14
P/BV (x)		18	14	5	8	6
P/CF (x)		73	47	16	30	25

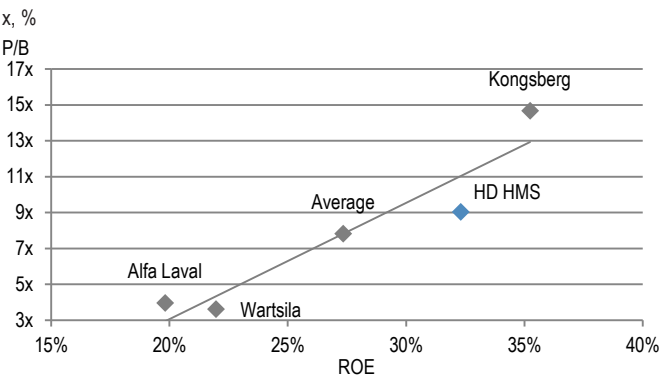
Source: Company data, J.P. Morgan estimates.

Figure 1: 12m-fwd P/E band



Source: Bloomberg Finance L.P.

Figure 2: P/B, ROE scatter (vs peers)



Source: Bloomberg Finance L.P., J.P. Morgan estimates.
Note: Global peers based on Bloomberg consensus, HMS estimates by J.P.Morgan.

Investment Thesis, Valuation and Risks

HD Hyundai Marine Solution *(Overweight; Price Target: W190,000)*

Investment Thesis

We are OW on the company with a robust outlook for affiliate earnings (HHI, Mipo and Samho), which are expected to improve through the coming years with better mix. We are also positive on the order outlook with a focus on 1) US LNG opportunities, 2) strong green transition demand, and 3) defense business. We think a reset in the earnings outlook for the affiliates indicates better capital return for the company and calls for a narrower NAV discount. We are OW.

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Risks to Rating and Price Target

Upside risks to our rating and price target include:

- 1) Strong vessel price pushing AM price and margins higher, and/or stronger-than-expected AM business expansion to non-captive vessels.
- 2) Stronger-than-expected retrofit demand over vessel replacement.
- 3) Faster than expected expansion of SDV revenue with strong operating leverage.

Downside risks include:

- 1) Slow pace of non-captive AM business expansion.
- 2) Rising competition which may weigh on profitability.
- 3) Shipowners opting for vessel replacement or slow steaming (i.e., postponing investment as far back as possible) over eco-retrofit.
- 4) Expiry of share lockup (six months post IPO).

HD Hyundai Marine Solution: Summary of Financials

Income Statement	FY23A	FY24A	FY25E	FY26E	Cash Flow Statement	FY23A	FY24A	FY25E	FY26E
Revenue	1,430	1,745	2,061	2,521	Cash flow from operating activities	73	247	249	285
COGS	(1,158)	(1,383)	(1,612)	(1,948)	o/w Depreciation & amortization	8	9	13	12
Gross profit	273	362	449	572	o/w Changes in working capital	(58)	(6)	(35)	(80)
SG&A	(67)	(85)	(88)	(112)	Cash flow from investing activities	5	(196)	(60)	(60)
Adj. EBITDA	210	281	368	465	o/w Capital expenditure	(2)	(10)	(10)	(10)
D&A	(8)	(9)	(13)	(12)	as % of sales	0.2%	0.6%	0.5%	0.4%
Adj. EBIT	201	272	355	453	Cash flow from financing activities	45	(152)	140	156
Net Interest	(4)	7	7	18	o/w Dividends paid	(90)	(100)	(140)	(156)
Adj. PBT	201	297	362	470	o/w Shares issued/(repurchased)	0	0	0	0
Tax	(50)	(69)	(90)	(118)	o/w Net debt issued/(repaid)	0	0	0	0
Minority Interest	0	0	0	0	Net change in cash	123	(101)	329	381
Adj. Net Income	151	228	271	353	Adj. Free cash flow to firm	70	237	239	275
Reported EPS	3,778	5,128	6,102	7,937	y/y Growth	53.0%	236.1%	1.1%	15.2%
Adj. EPS	3,778	5,128	6,102	7,937					
DPS	2,500	3,150	3,500	4,500					
Payout ratio	66.2%	61.4%	57.4%	56.7%					
Shares outstanding	40	44	44	44					
Balance Sheet	FY23A	FY24A	FY25E	FY26E	Ratio Analysis	FY23A	FY24A	FY25E	FY26E
Cash and cash equivalents	96	298	348	417	Gross margin	19.1%	20.7%	21.8%	22.7%
Accounts receivable	211	263	286	355	EBITDA margin	14.7%	16.1%	17.9%	18.4%
Inventories	238	273	278	336	EBIT margin	14.1%	15.6%	17.2%	18.0%
Other current assets	502	594	622	749	Net profit margin	10.6%	13.1%	13.2%	14.0%
Current assets	597	1,076	1,203	1,449	ROE	71.6%	45.0%	32.3%	35.2%
PP&E	11	20	18	17	ROA	25.7%	25.2%	22.0%	24.6%
LT investments	0	3	3	3	ROCE	46.7%	43.5%	42.2%	45.5%
Other non current assets	44	53	83	96	SG&A/Sales	4.7%	4.8%	4.3%	4.4%
Total assets	657	1,152	1,308	1,566	Net debt/Equity	0.1	NM	NM	NM
Short term borrowings	128	0	0	0	Net debt/EBITDA (x)	0.2	NM	NM	NM
Payables	146	184	190	229	Sales/Assets (x)	2.4	1.9	1.7	1.8
Other short term liabilities	113	159	175	192	Assets/Equity (x)	2.8	1.8	1.5	1.4
Current liabilities	388	343	364	422	Interest cover (x)	54.9	NM	NM	NM
Long-term debt	0	0	0	0	Operating leverage	578.6%	158.4%	169.6%	123.3%
Other long term liabilities	29	36	39	43	Tax rate	24.8%	23.2%	25.0%	25.0%
Total liabilities	417	379	403	464	Revenue y/y Growth	7.2%	22.0%	18.1%	22.3%
Shareholders' equity	240	774	905	1,102	EBITDA y/y Growth	41.7%	34.0%	31.0%	26.2%
Minority interests	0	0	0	0	EPS y/y Growth	44.0%	35.7%	19.0%	30.1%
Total liabilities & equity	657	1,152	1,308	1,566	Valuation	FY23A	FY24A	FY25E	FY26E
BVPS	5,999	17,402	20,354	24,791	P/E (x)	41.9	30.9	25.9	19.9
y/y Growth	31.7%	190.1%	17.0%	21.8%	P/BV (x)	26.4	9.1	7.8	6.4
Net debt/(cash)	32	(481)	(581)	(700)	Dividend Yield	1.6%	2.0%	2.2%	2.8%

Source: Company reports and J.P. Morgan estimates.

Note: W in billions (except per-share data). Fiscal year ends Dec. o/w - out of which

HD Hyundai Marine Solution (443060 KS) - Rating and price target changes as of 25-Apr-25

Date	Rating	Price Target (Won)
17-Jun-24	N	150,000
18-Jun-24	N	150,000
24-Jul-24	N	150,000
08-Aug-24	OW	150,000
23-Oct-24	OW	160,000
10-Jan-25	OW	190,000
26-Feb-25	OW	190,000
17-Apr-25	OW	190,000
25-Apr-25	OW	190,000

Source: Bloomberg Finance L.P., J.P. Morgan.

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HD Hyundai Marine Solution (443060.KS, 443060 KS) Price Chart



Date	Rating	Price (W)	Price Target (W)
17-Jun-24	N	158000	150,000
08-Aug-24	OW	115100	150,000
23-Oct-24	OW	124100	160,000
10-Jan-25	OW	165600	190,000

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 17, 2024. All share prices are as of market close on the previous business day.

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